ECONOMICS & STRATEGY

Thailand Chartbook: Higher 1Q26 growth, Middle East-driven headwinds

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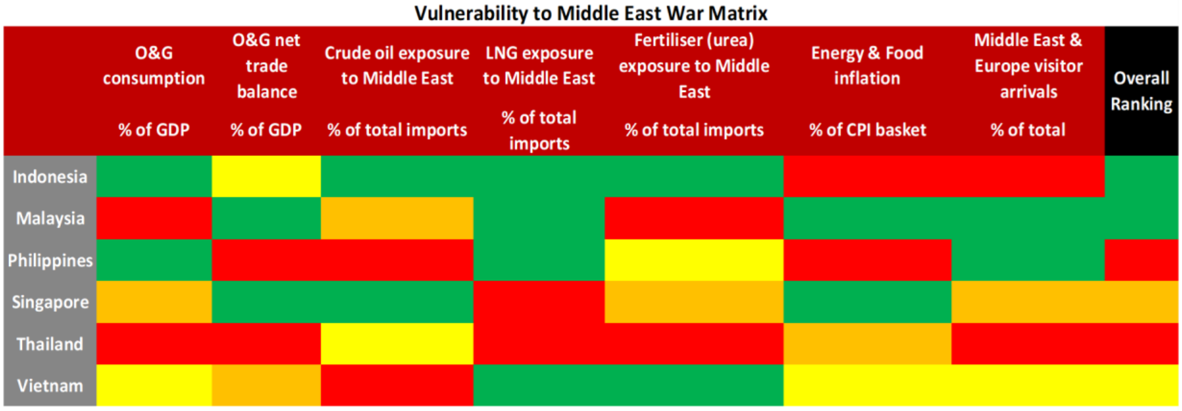
- *Thai real GDP growth rose to 2.8% yoy in 1Q26, reflecting resilience before the Middle East war.*
- *Growth faces headwinds from the Gulf shock via higher costs, weaker private consumption, and tourism disruption.*
- *Exports benefiting from the AI upcycle, robust foreign-driven investment, and fiscal stimulus are mitigating factors.*
- *Inflation has surged on higher energy prices, and will remain elevated through 2026.*
- *We expect the BOT to maintain an extended policy rate pause amid stagflationary forces.*
- *THB400bn fiscal stimulus aims to provide targeted support amid constrained fiscal space.*
- ***Forecast implications:** We maintain our 2026 growth forecast at 1.6% and monitor two-sided risks. Our 2026 headline inflation forecast is unchanged at 2.5%, with upside risks.*

Across seven metrics examining oil & gas consumption and trade balances, exposure of energy supply chains to the Middle East, inflation risks, and reliance on tourism, we assess Thailand and the Philippines to be the most vulnerable to the Middle East shock.

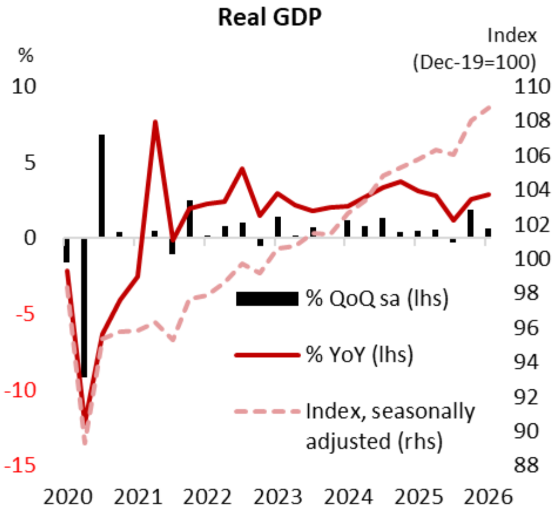
Vulnerability to Middle East War Matrix



Source: CEIC, Energy Institute, UN Comtrade, DBS
Note: Green = Relatively resilient; Red = Highly exposed; Yellow & Orange = Middle of the pack

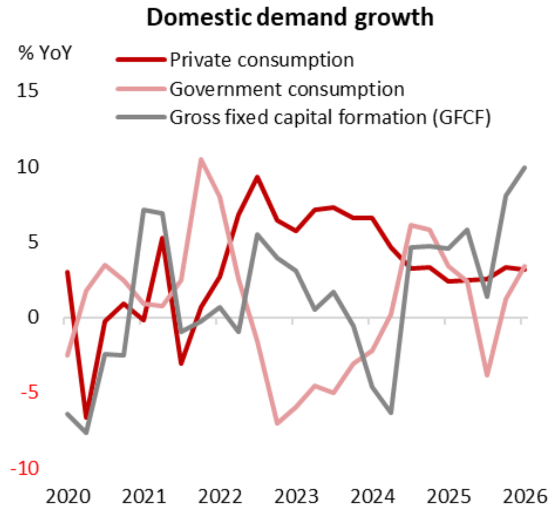
REAL GDP GROWTH

GDP growth picked up again in 1Q26 to 2.8% yoy, but faces headwinds from Middle East disruptions. Fiscal stimulus aims to provide a cushion. We maintain our 2026 growth forecast of 1.6%.



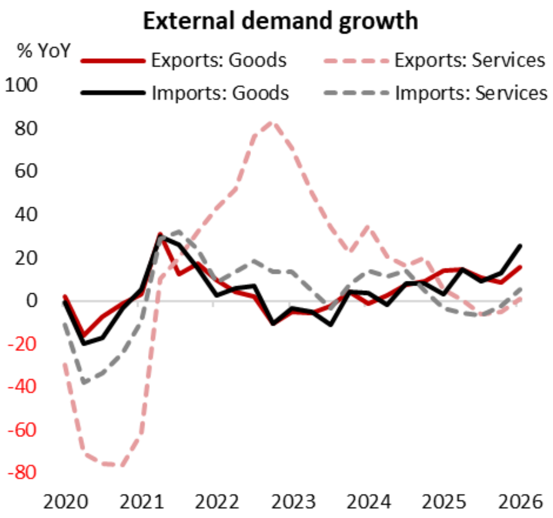
Source: CEIC, DBS

Overall growth in 1Q26 was lifted by a pick-up in domestic demand. Investment growth remained the key driver, surging to multi-year highs. Private consumption expansion was stable, while government consumption improved.



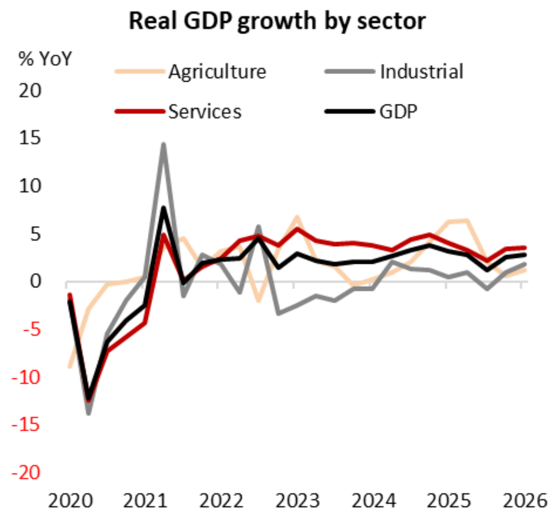
Source: CEIC, DBS

External demand improved in 1Q26, supported by goods exports, which continue to benefit from the global tech upcycle. Services exports, while returning to growth in 1Q, remain lagging and face tourism headwinds.



Source: CEIC, DBS

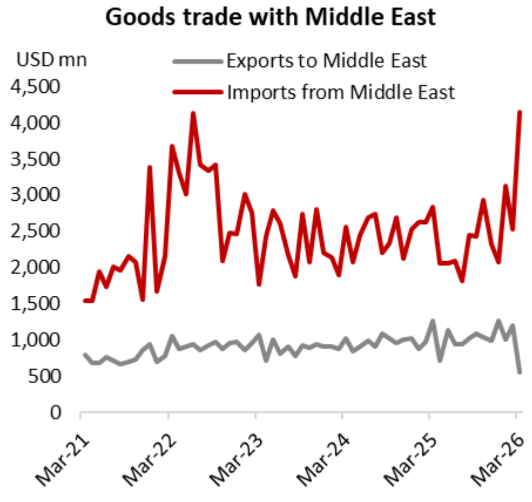
The economic growth pick-up in 1Q26 was driven by an uptick in the agricultural and industrial sectors. The services sector extended its growth momentum amid expansion across most sub-sectors.



Source: CEIC, DBS

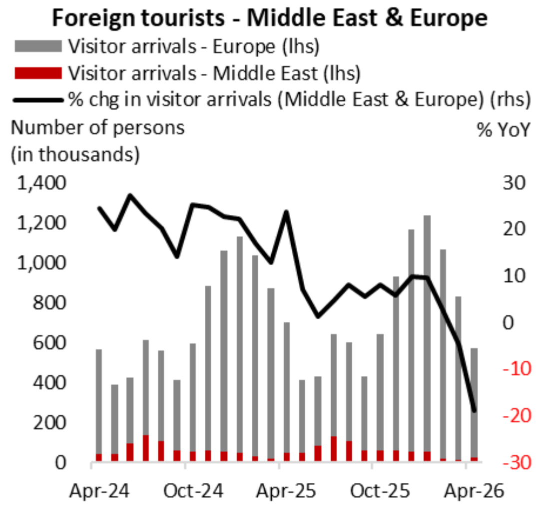
IMPACT OF MIDDLE EAST CONFLICT

The impact of the Iran war emerged in Thai goods trade data in March 2026. Exports to the Middle East plunged, while imports surged due to crude oil shipments from the UAE in transit prior to the Gulf conflict and higher oil prices.



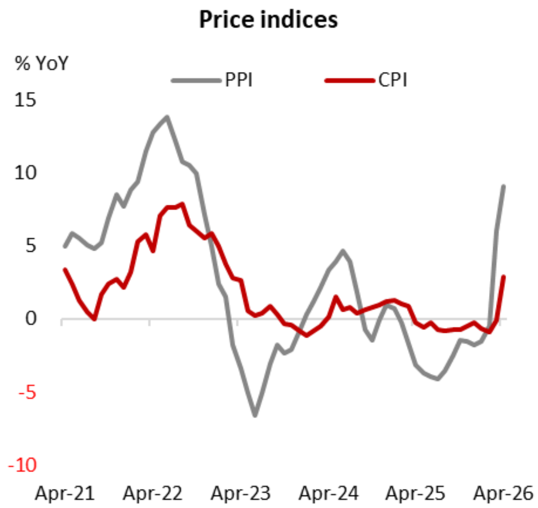
Source: CEIC, DBS

Foreign tourists from the Middle East and Europe fell significantly in March and April 2026. This decline was due to travel disruptions in the Gulf, a crucial air hub connecting Europe and Asia.



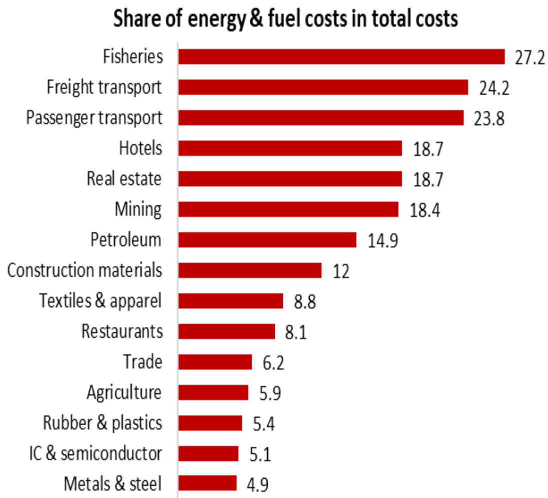
Source: CEIC, DBS

Thailand faces an inflation shock. Producer price growth surged in April 2026, reaching the highest since October 2022, amid a jump in fuel prices. Consumer prices also picked up, playing catch-up to producer prices.



Source: CEIC, DBS

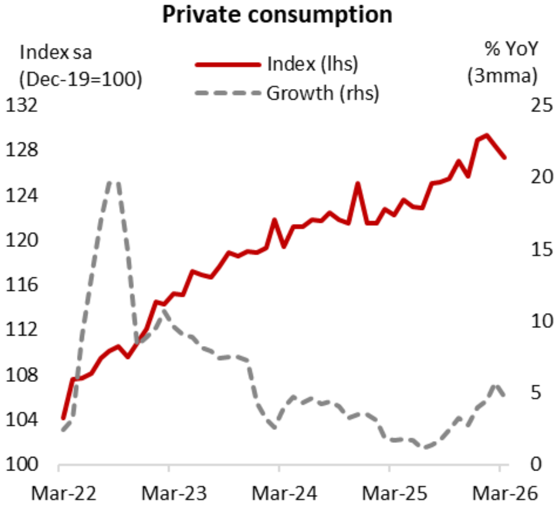
Business costs are rising due to higher energy prices. Fisheries, transport, hotels, and real estate are the most affected sectors.



Source: Bank of Thailand

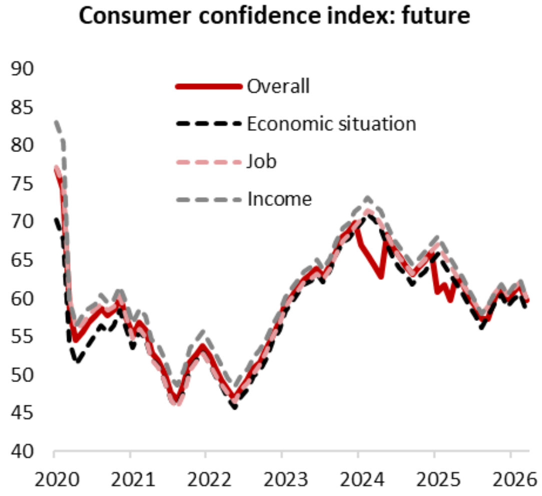
PRIVATE CONSUMPTION AND TOURISM

Private consumption fell in March 2026, mainly due to softer services activity amid lower tourism. Higher inflation, which erodes purchasing power, will dampen household spending amid weaker consumer confidence.



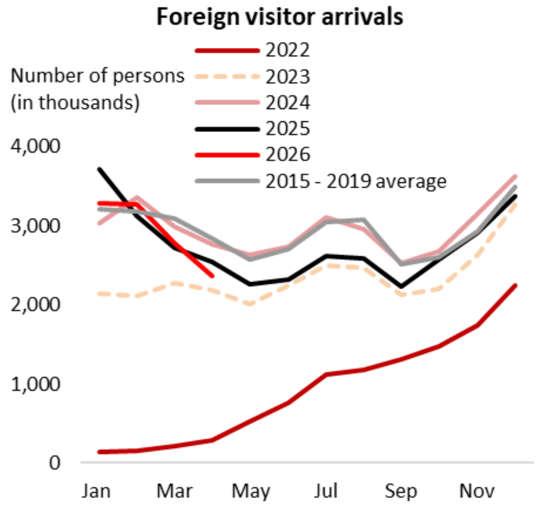
Source: CEIC, DBS

Consumer confidence weakened in March 2026, reflecting increased concerns about the economic situation, jobs, and income, amid heightened uncertainty stemming from the Middle East conflict.



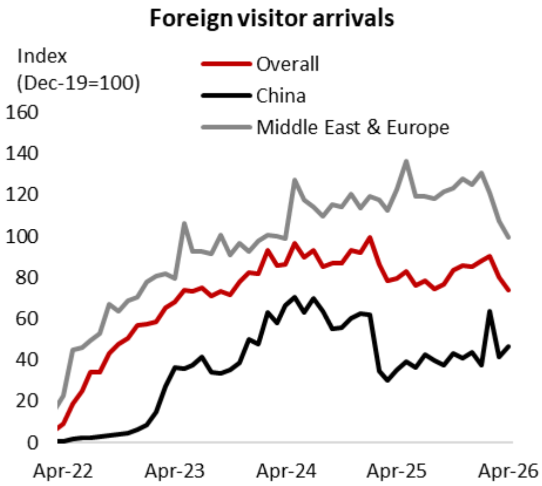
Source: CEIC, DBS. Note: dotted lines refer to sub-indices

Foreign visitor arrivals in the first four months of 2026 tracked 3.4% below 2025 levels, reflecting ongoing challenges in Thailand's tourism sector.



Source: CEIC, DBS

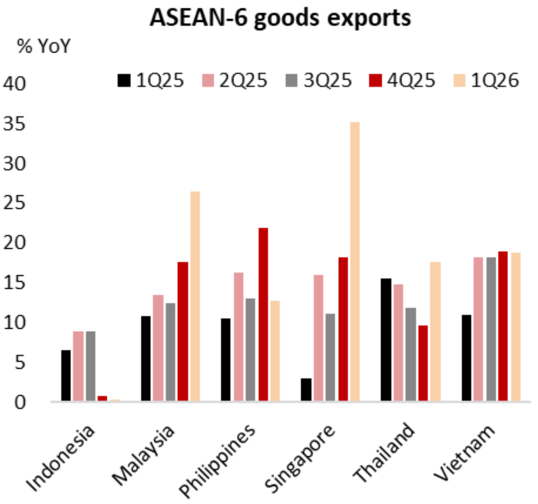
The kingdom continues to face ongoing challenges in attracting tourists from China. This is now compounded by declining visitors from the Middle East and Europe, which had previously been sources of strength.



Source: CEIC, DBS
Note: Comparison vs same month in 2019.

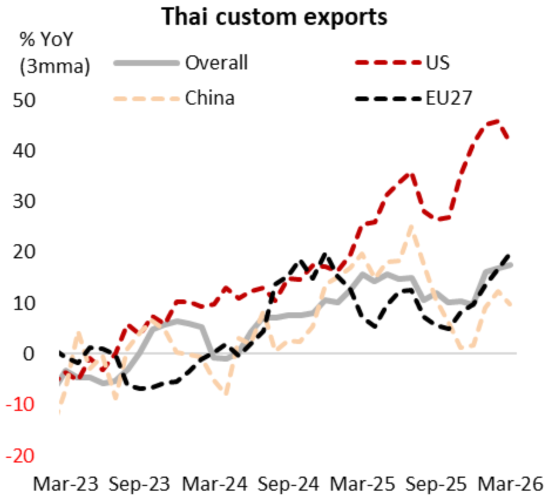
GOODS EXPORTS

Regional goods exports maintained strong performance across most economies in 1Q26. Export growth accelerated in Malaysia, Singapore, and Thailand, while Vietnam's shipments remained robust.



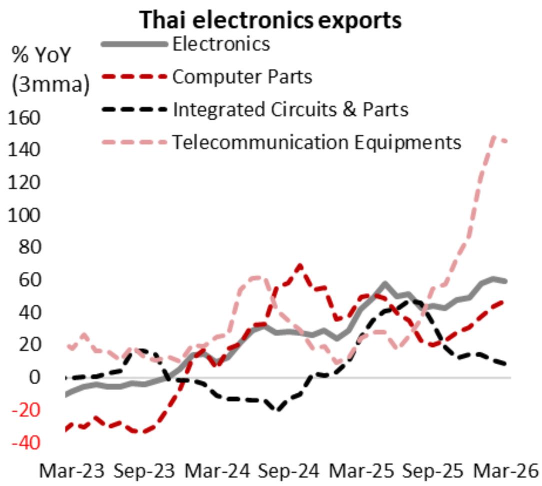
Source: CEIC, DBS. Note: % YoY in USD terms.

Thai goods exports continued to be supported by strong momentum to the US, with outperforming growth exceeding 40% yoy.



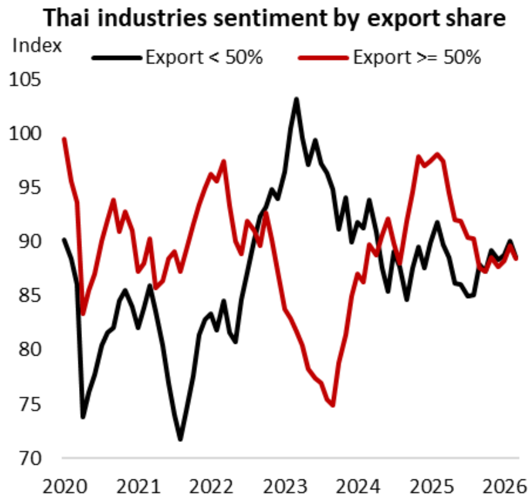
Source: CEIC, DBS

Thai electronics exports will continue to benefit from strong external demand driven by global artificial intelligence (AI)-related tailwinds. Telecommunication equipment shipments have been key beneficiaries of the AI boom.



Source: CEIC, DBS
Note: dotted lines are selected sub-components

Sentiment among Thai industries, regardless of export share, has remained stable since the start of 2026. The industrial sector is balancing AI tailwinds against geopolitical uncertainties from the energy shock and US trade policies.

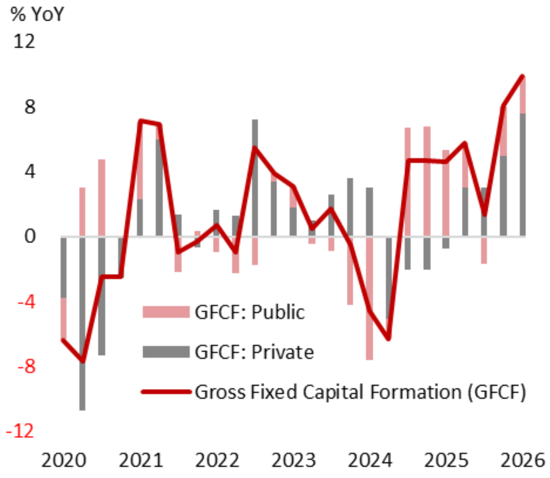


Source: CEIC, DBS

INVESTMENT

Investment growth in 1Q26 accelerated to the highest rate since 1Q15, driven mainly by strong private investment. Public investment was also supportive, and the new government aims to sustain this momentum.

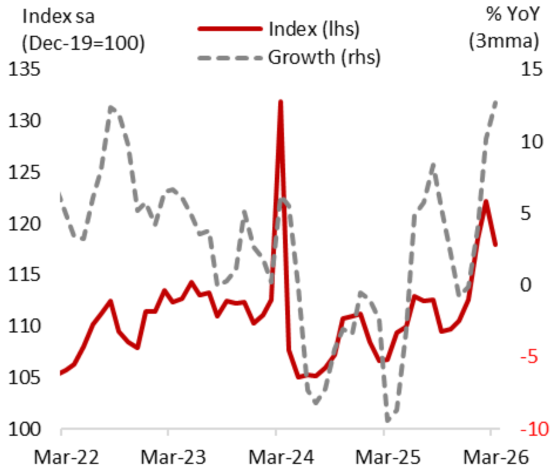
Investment - gross fixed capital formation



Source: CEIC, DBS

Private investment remained robust in early 2026, driven by strong momentum in machinery and equipment. This likely reflected the realisation of investment applications and approvals, including foreign inflows.

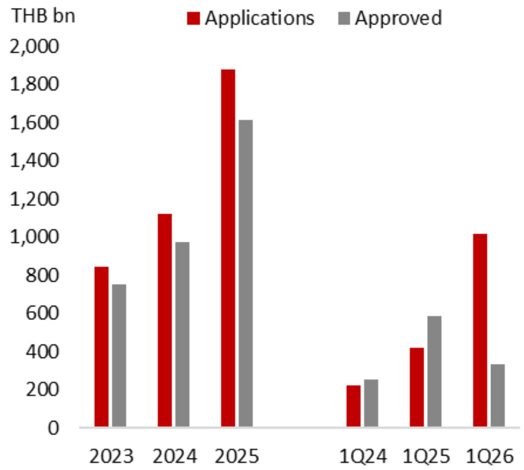
Private investment



Source: CEIC, DBS

Thailand's investment applications and approvals continued to hit new highs. The country is benefitting from robust foreign interest in Southeast Asia, and the 'Thailand Fastpass' scheme to expedite major projects.

Investment applications and approval



Source: Thailand Board of Investment, DBS

Investment applications have headed towards new economy and high value-added segments, such as digital and electronics (data centres, cloud services, and AI infrastructure).

Thailand's Investment Applications

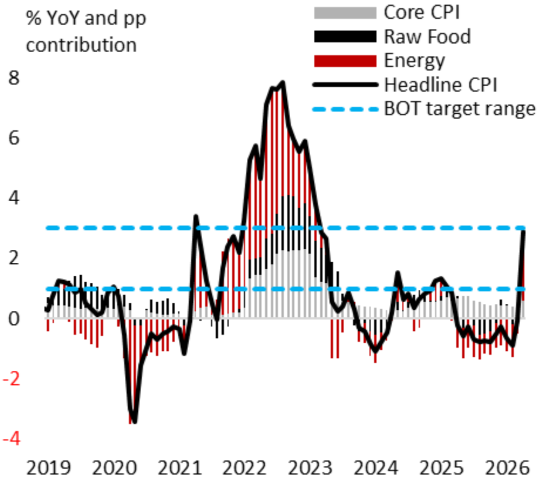
Industry	Investment applications	Share
Digital		40%
Electrical & Electronics		15%
Automotive & Parts		4%
Agriculture & Food Processing		4%
Petrochemical & Chemicals		3%
Medical		2%
Tourism		1%
Biotechnology		1%
Automation & Robotics		1%
Aviation		0%
Others		30%

Source: Thailand Board of Investment, DBS

INFLATION AND MONETARY POLICY

Headline inflation jumped to 2.9% yoy in April 2026, the upper end of the central bank's 1-3% target. It will likely average above the target in the coming months. We maintain our 2026 inflation forecast of 2.5%, and see upside risks.

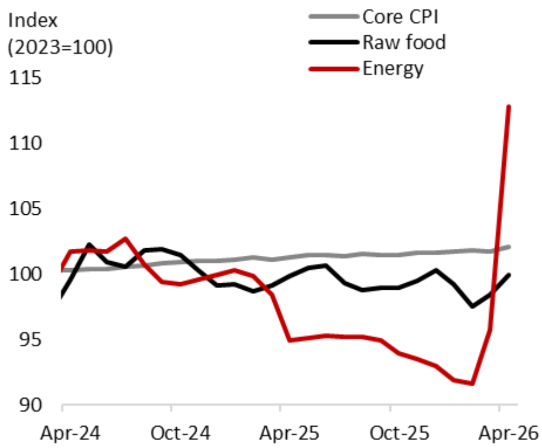
Headline inflation breakdown



Source: CEIC, DBS

Energy costs, which jumped by 18.9% yoy in April 2026, will stay elevated amid constrained oil supply through the Strait of Hormuz. Tame food and core inflation face upside risks from fertiliser disruptions and cost passthrough.

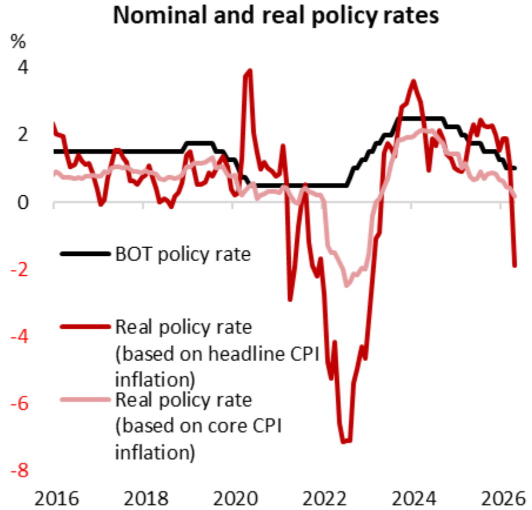
CPI breakdown



Source: CEIC, DBS

Real policy interest rates have trended lower amid the Bank of Thailand (BOT)'s easing cycle since October 2024. However, given upside inflation risks, the room for rate cuts to support the fragile economy has closed.

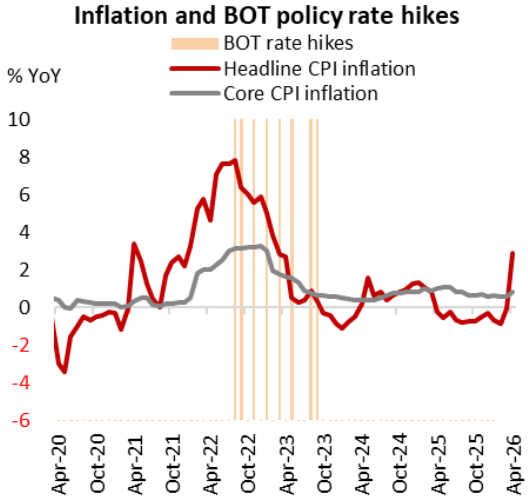
Nominal and real policy rates



Source: CEIC, DBS

We expect an extended policy rate pause. The BOT is also unlikely to address the supply-side inflation shock with rate hikes in the near term. Tighter policy would weigh on growth. The BOT was also slow to raise rates in 2022-23.

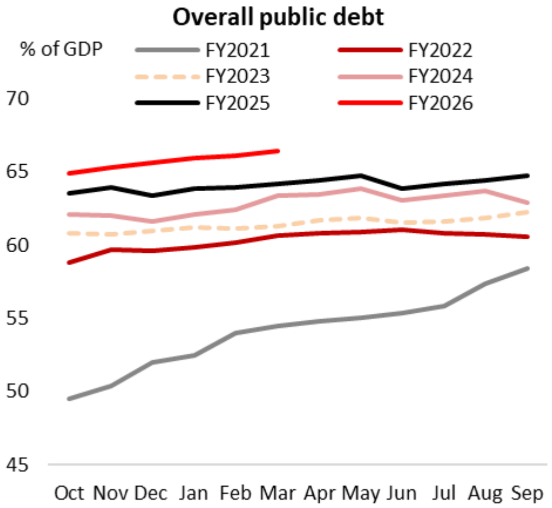
Inflation and BOT policy rate hikes



Source: CEIC, DBS

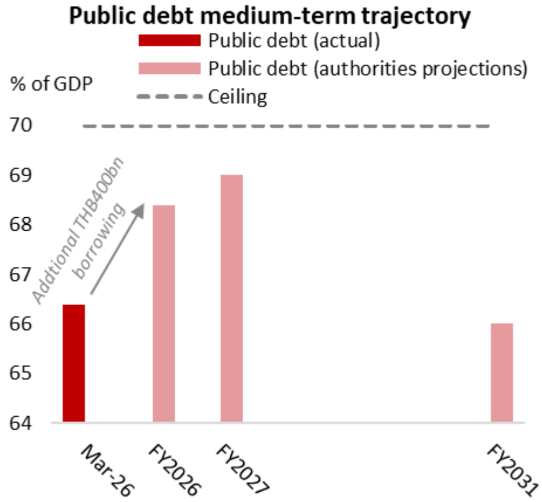
FISCAL POLICY

Thailand's overall public debt has been on an upward trajectory since the COVID-19 pandemic, approaching its 70% of GDP ceiling. Fiscal space and flexibility are becoming increasingly constrained.



Source: CEIC, DBS

Policymakers have authorised an emergency loan decree allowing an additional THB400bn in borrowings as targeted fiscal support amid the Gulf shock. This will raise public debt by ~2 percentage points to 68% of GDP in FY2026.



Source: Bangkok Post, CEIC, DBS

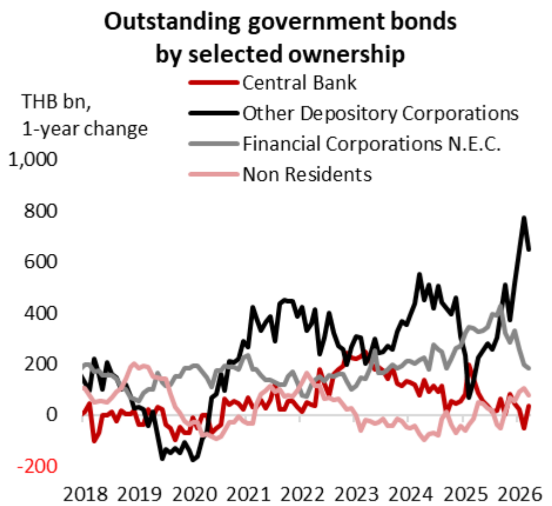
Thailand is relying on targeted fiscal support to navigate the Gulf shock, despite narrowing fiscal space. The emergency borrowing balances short-term relief with longer-term energy resilience and decarbonisation efforts.

THB400bn Emergency Borrowing Decree

Amount (THB bn)	Purpose	Details
200	Immediate relief	Supports vulnerable households and businesses affected by the Middle East conflict.
200	Renewable energy transition	Funds renewable and clean energy initiatives, including alternative energy technologies, energy efficiency improvements, and reducing reliance on imported oil and natural gas.

Source: Bangkok Post, DBS compilation

Domestic financial institutions have been the primary buyers of Thai government bonds. Ample liquidity in the banking system, amid weak credit demand, will support absorption of new government borrowing.



Source: CEIC, DBS

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ECONOMICS & STRATEGY

TAIWAN CHARTBOOK: THE AI TRILLION-DOLLAR LEAP

12 May 2026

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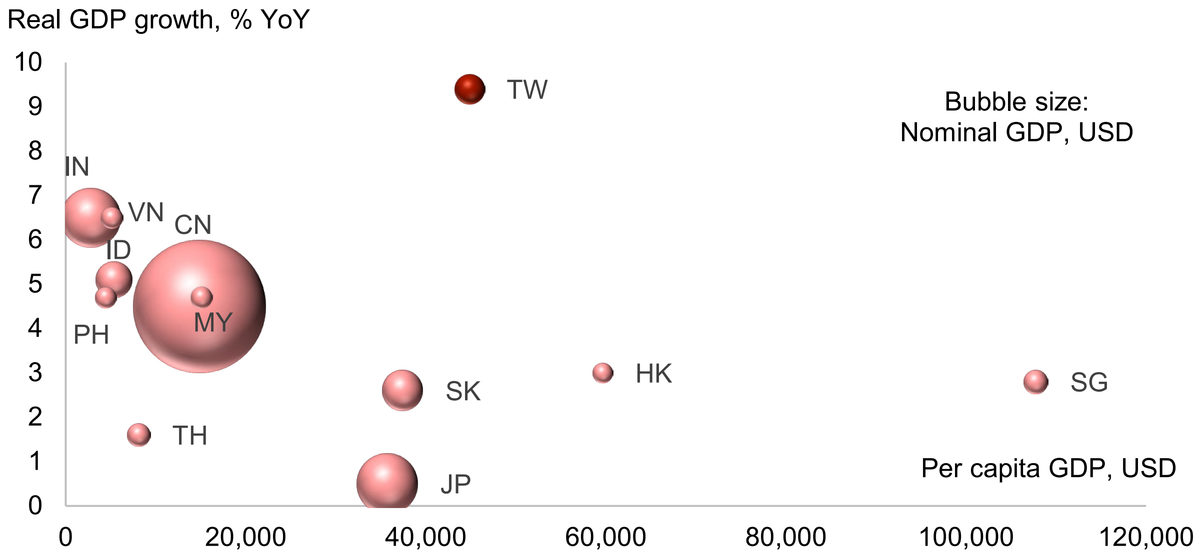
- *Thanks to the AI supercycle, Taiwan is delivering remarkable economic and market performance while gaining strategic importance in global supply chains*
- *Nominal GDP is set to enter the USD1tn club this year*
- *Real GDP growth is on track to approach 10%, making Taiwan Asia-12's fastest-growing economy*
- *Per capita GDP is projected to reach USD45k, ranking Taiwan as Asia-12's third-richest economy*
- *The TAIEX has recently emerged as the world's sixth-largest stock market*
- *For Singapore, Taiwan has overtaken China to become our largest trading partner*
- *Hidden challenges include K-shaped growth and widening wealth inequality*
- *Risks of stock market overheating, inflation, and monetary tightening are also drawing close attention*

Asia: Nominal GDP, per capita GDP, and real GDP growth (2026F)

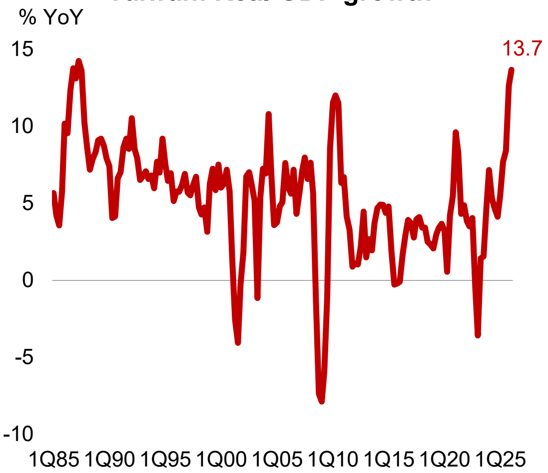


Sources: CEIC, IMF, DBS

GDP

The AI-driven export boom has sharply boosted Taiwan's growth performance. Real GDP growth accelerated further to 13.7% YoY in 1Q from 12.7% in 4Q25, marking the strongest quarterly expansion since 1987.

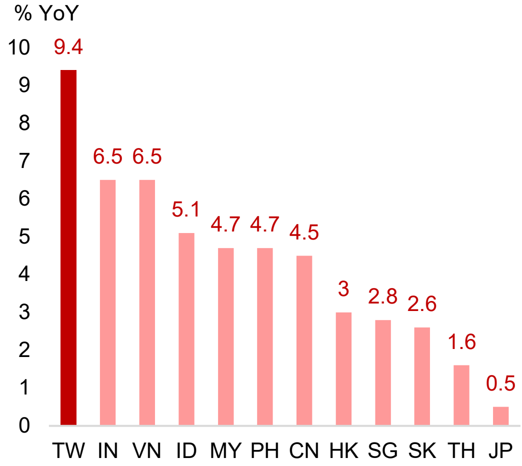
Taiwan: Real GDP growth



Sources: CEIC, DBS

Full-year 2026 GDP growth is on track to approach 10% (DBSF: 9.4%), allowing Taiwan to outperform India and Vietnam for a second consecutive year as Asia-12's fastest-growing economy.

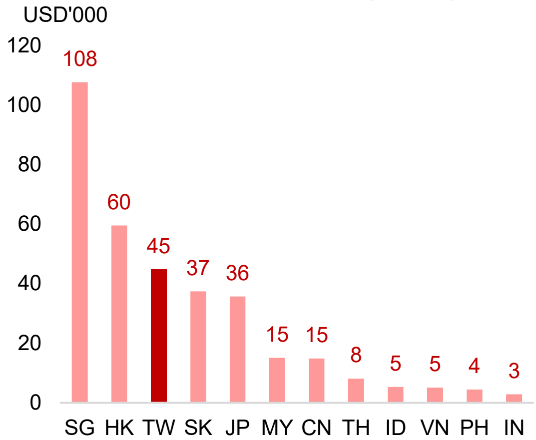
Asia: Real GDP growth (2026F)



Sources: CEIC, DBS

Per capital GDP is projected to reach around USD45,000 in 2026, further widening the income gap with Japan and South Korea and reinforcing Taiwan's position as Asia-12's third-richest economy.

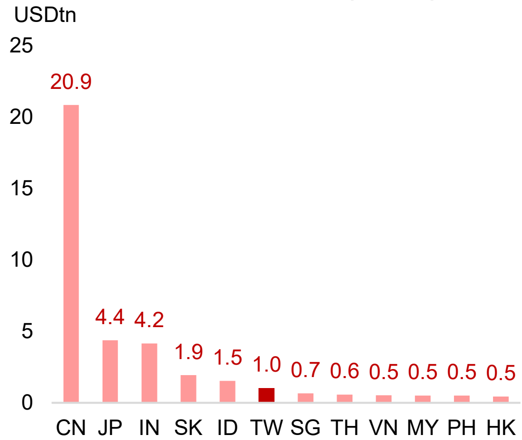
Asia: Per capita GDP (2026F)



Sources: CEIC, IMF, DBS

Nominal GDP is on track to surpass the USD1tn mark in 2026, bringing Taiwan into the USD1tn club alongside China, Japan, India, South Korea, and Indonesia.

Asia: Nominal GDP (2026F)

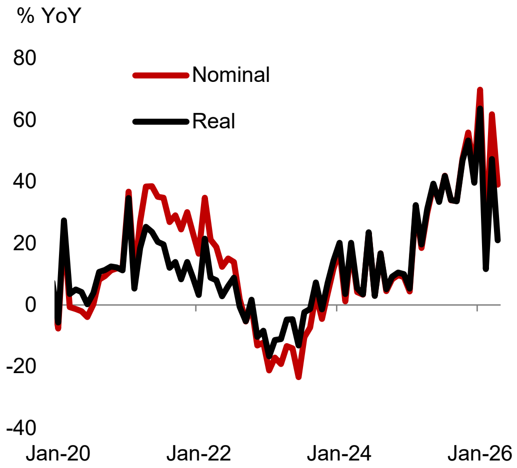


Sources: CEIC, IMF, DBS

EXTERNAL TRADE

AI-driven export performance remains strong, although momentum may be starting to peak. Export growth moderated to 39.0% YoY in April, while real exports (excluding price effects) slowed more noticeably to 21.0%.

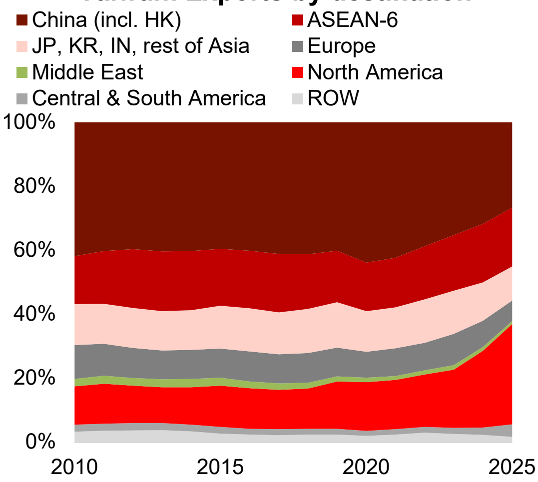
Taiwan: Export growth



Sources: CEIC, DBS

AI demand is increasingly redirecting Taiwan's exports toward the US market. Since 2025, the US has overtaken China as Taiwan's largest export destination, accounting for 31% of total exports.

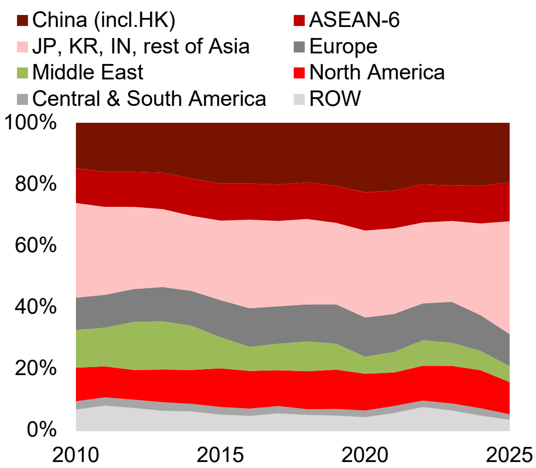
Taiwan: Exports by destination



Sources: CEIC, DBS

The evolving AI supply chain has shifted Taiwan's import structure toward South Korea, particularly for HBM-related semiconductor supply. South Korea has become Taiwan's second-largest import source since 2025, accounting for 13.2% of imports.

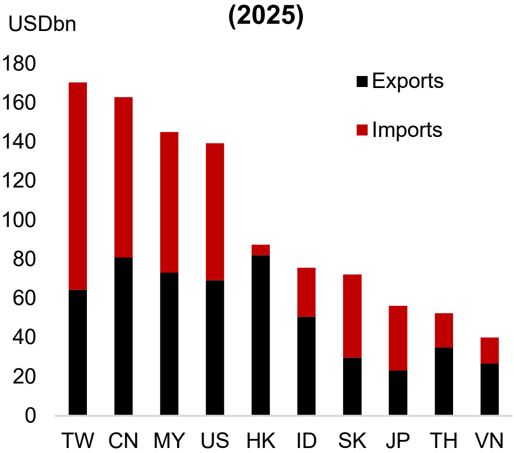
Taiwan: Imports by source



Sources: CEIC, DBS

The rise of AI is also elevating the strategic importance of Taiwan's supply chain globally. On a single-country basis, Taiwan has overtaken China to become Singapore's largest trading partner since 2025, driven by a sharp increase in Singapore's electronics imports from Taiwan.

Singapore: Top 10 trading partners (2025)

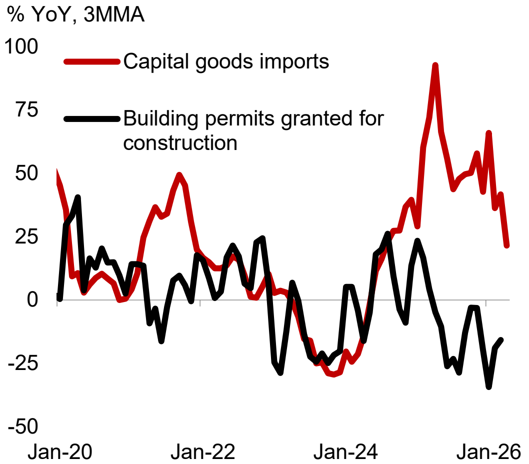


Sources: CEIC, DBS

INVESTMENT

Investment indicators showed signs of peaking. Capital goods imports decelerated as capex by leading semiconductor firms moved past its peak, while building permits remained in negative territory amid continued weakness in the property market.

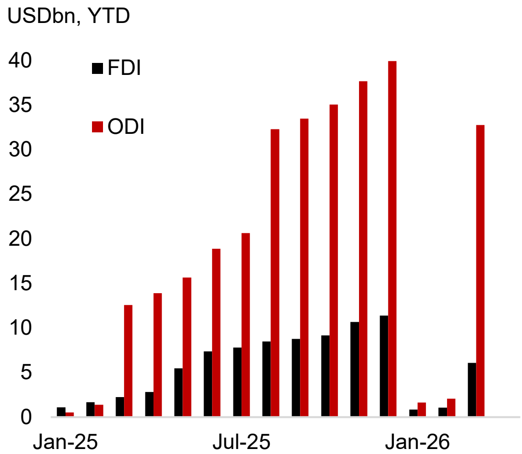
Taiwan: Investment indicators



Sources: CEIC, DBS

FDI and ODI activity stayed buoyant. Approved FDI and ODI both surged by more than 100% YoY cumulatively in the first three months of this year, reaching USD6.1bn and USD32.8bn, respectively.

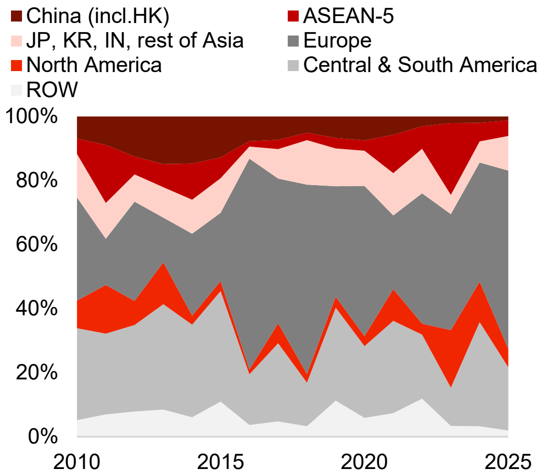
Taiwan: Approved FDI and ODI



Sources: CEIC, DBS

FDI sources remained broadly stable, with Europe continuing to be Taiwan's largest source of inward investment, accounting for a 56% share in 2025.

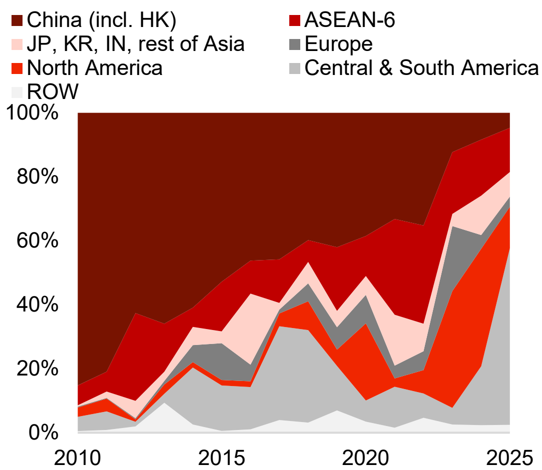
Taiwan: Approved FDI by source



Sources: CEIC, DBS

ODI destinations continued to shift away from China toward the America, with North America and Central & South America together accounting for 68% of Taiwan's outbound investment flows in 2025.

Taiwan: Approved ODI by destination

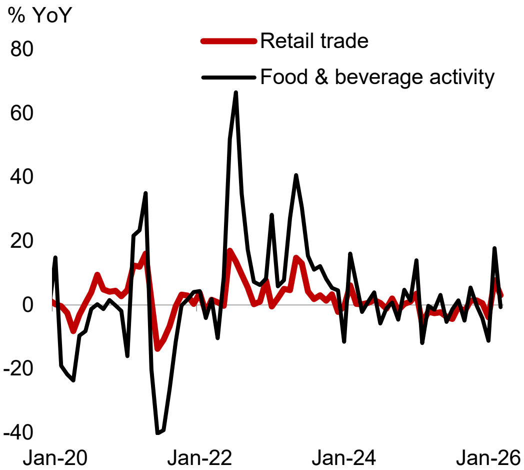


Sources: CEIC, DBS

CONSUMPTION / LABOR MARKET

Consumption rebounded on the back of stimulus measures. Retail sales returned to positive growth from 4Q25 following the rollout of the cash handout programme.

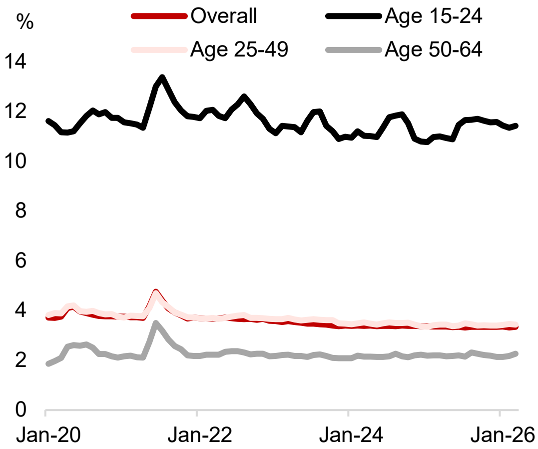
Taiwan: Consumption indicators



Sources: CEIC, DBS

Labor market conditions remained broadly stable, although structural unemployment persisted. The unemployment rate held steady at 3.4% as of March, while youth unemployment among those aged 15-24 remained elevated at 11.4%.

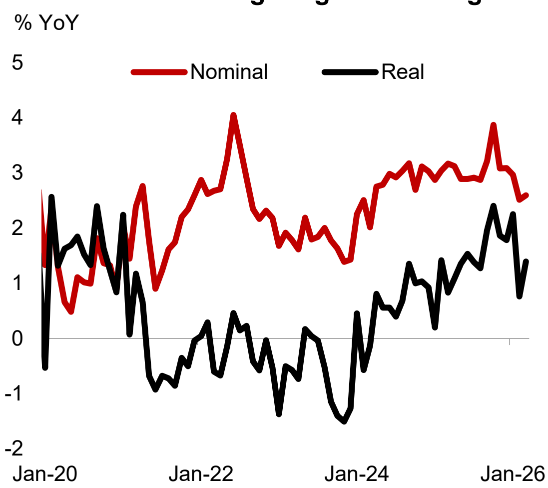
Taiwan: Unemployment rate



Sources: CEIC, DBS

Wage growth softened slightly and is likely to face further erosion from rising inflation ahead. Average regular earnings slowed to 2.6% YoY in March, slipping below the 3% mark, while inflation-adjusted real wage growth eased to around 1%.

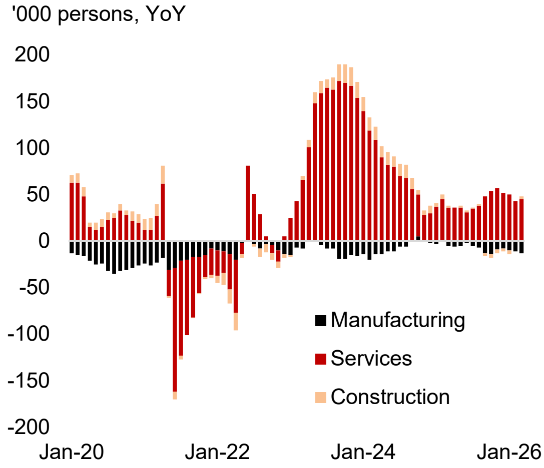
Taiwan: Average regular earnings



Sources: CEIC, DBS

The AI-driven manufacturing boom has not generated significant employment gains due to the capital- and technology-intensive nature of the sector. Employment growth continued to be driven mainly by the services sector rather than manufacturing.

Taiwan: Employment growth

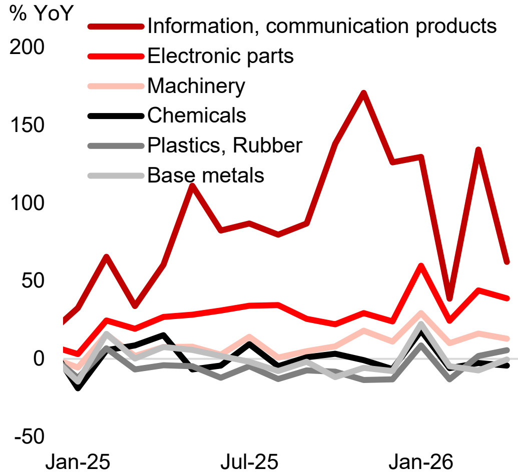


Sources: CEIC, DBS

MANUFACTURING

Export performance remained uneven between high-tech and traditional sectors. Exports of information and communication products and electronic components continued to post double-digit growth in April, while chemicals and metal exports remained in contraction.

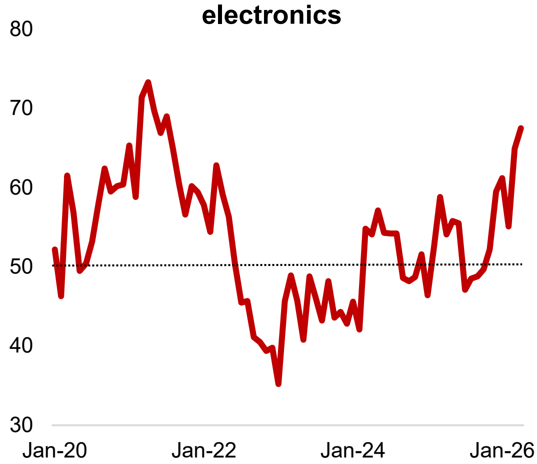
Taiwan: Exports by product



Sources: CEIC, DBS

AI-driven manufacturing activity stayed robust. The electronics PMI rose further to 67.5 in April, lifting the overall CIER manufacturing PMI to 60.3.

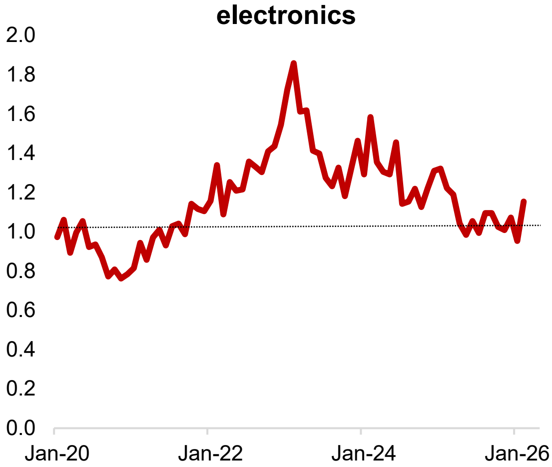
Taiwan: PMI manufacturing - electronics



Sources: CIER, CEIC, DBS

The AI-driven tech cycle remained in expansionary territory, with the electronics inventory-to-shipment ratio staying healthy at around the neutral level of 1.0.

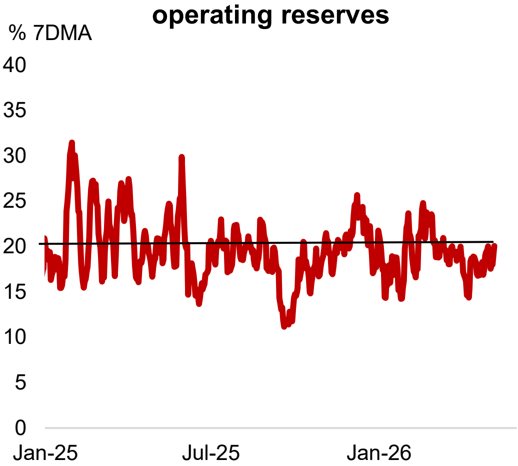
Taiwan: Inventory/shipment ratio - electronics



Sources: CEIC, DBS

LNG supply disruptions stemming from the Middle East conflict have so far not caused significant power shortages in Taiwan. Electricity supply operating reserves remained at healthy levels of around 20% in early May.

Taiwan: Electricity supply operating reserves

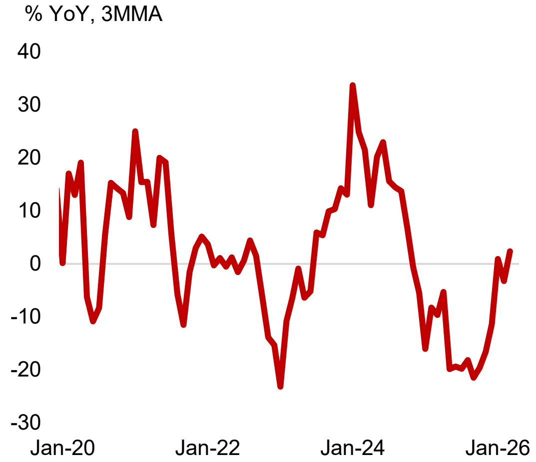


Sources: CEIC, DBS

SERVICES

Property market activity remained weak but showed signs of stabilization. The number of registered building transfers paused its 1.5-year contraction trend.

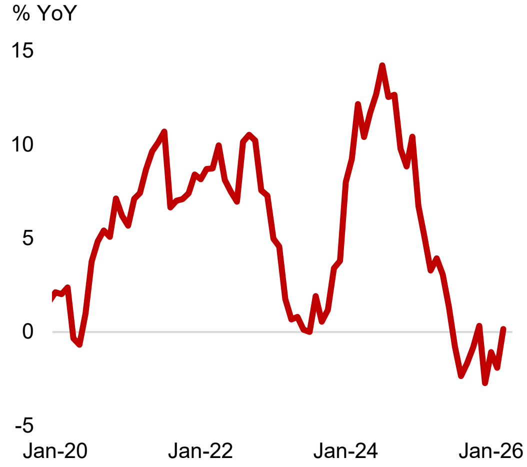
Taiwan: Registered building transfers



Sources: Ministry of the Interior, DBS

Property prices also stabilized. Sinyi residential property prices in the Taipei area recorded a marginal 0.2% YoY increase in March.

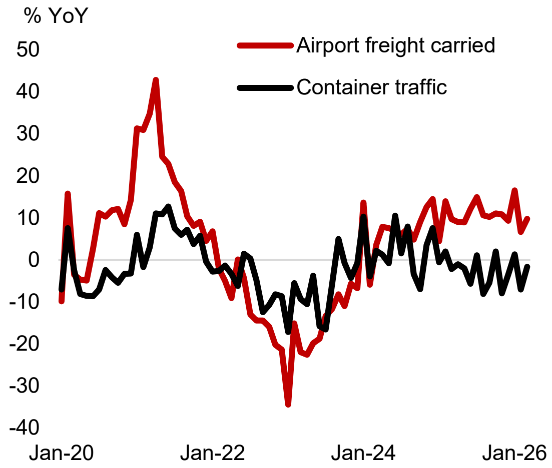
Taipei: Sinyi residential property prices



Sources: CEIC, DBS

Transport indicators were mixed. Airport freight traffic remained steady and strong, while container throughput continued to contract.

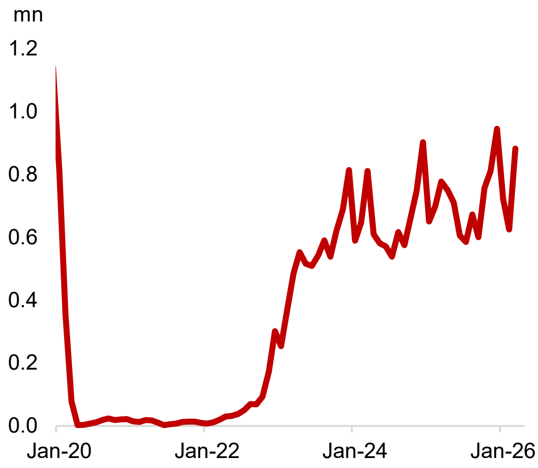
Taiwan: Transport indicators



Sources: CEIC, DBS

The tourism sector continued to recover despite the absence of mainland Chinese visitors. Visitor arrivals reached 880k in March, approaching the pre-pandemic peak level of 1mn.

Taiwan: Visitor arrivals

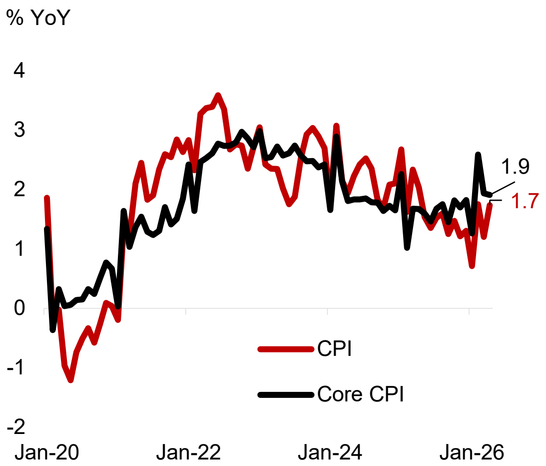


Sources: CEIC, DBS

PRICES

The inflationary impact of the Middle East conflict has started to emerge. CPI rose to 1.7% YoY in April, while the month-on-month increase was more notable at 0.5%.

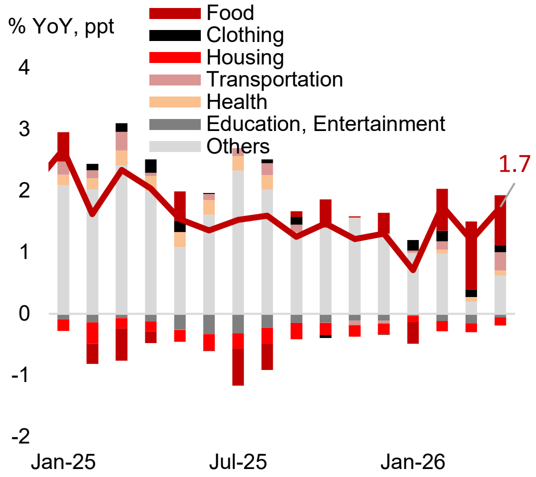
Taiwan: CPI inflation



Sources: CEIC, DBS

Government energy subsidies through SOEs have helped cushion the shock, but they have not fully offset the inflation impact. Transportation costs led the increase in April CPI.

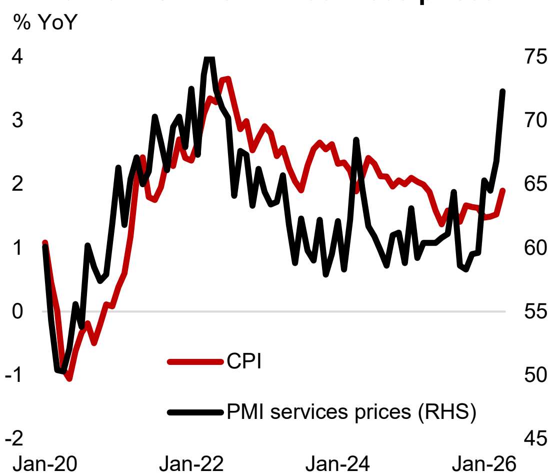
Taiwan: CPI inflation by component



Sources: CEIC, DBS

Pipeline price pressures linked to the Middle East conflict remain strong. PMI price subindices, which typically lead CPI by around three months, surged sharply in April to levels close to the 2022 peak seen during the Russia-Ukraine war.

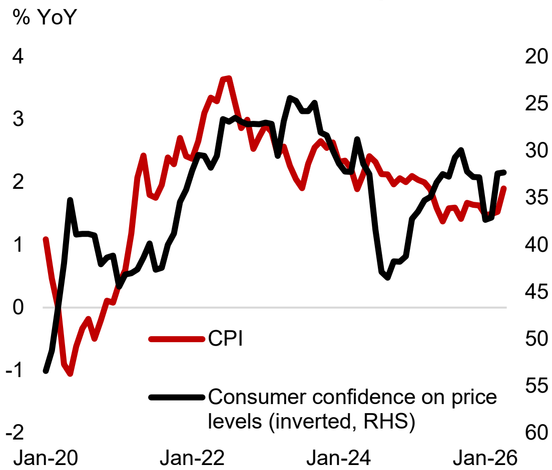
Taiwan: CPI vs. PMI services prices



Sources: CIER, CEIC, DBS

Inflation expectations are coming under close scrutiny. Consumer inflation expectations, which tend to move broadly in line with CPI, are likely to edge higher in the coming months.

Taiwan: CPI vs. inflation expectations

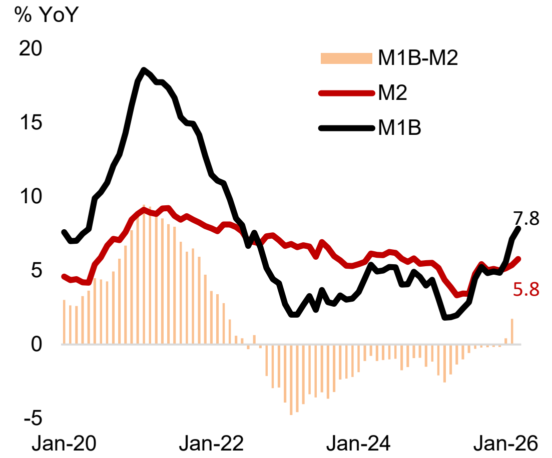


Sources: CEIC, DBS

LOAN MARKET

Liquidity conditions remained favourable. M2 growth picked up to 5.8% YoY in March, staying in the upper half of the central bank's reference range of 2.5-6.5%. M1 growth accelerated more notably to 7.8%, resulting in a positive M1-M2 gap.

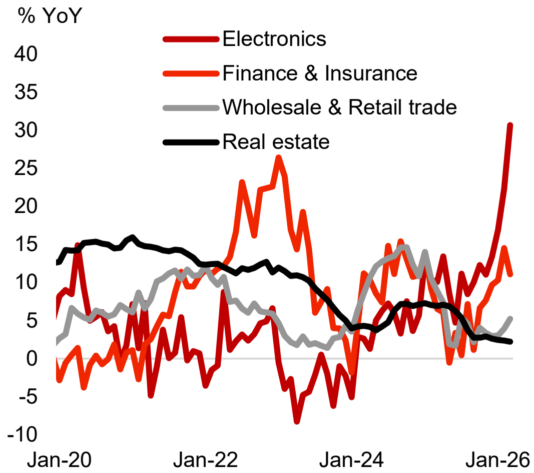
Taiwan: Money supply



Sources: CEIC, DBS

Corporate lending strengthened amid robust financing demand from tech companies. Loans to the electronics sector surged by more than 30% YoY in April, contributing to an 8.4% increase in total corporate loans.

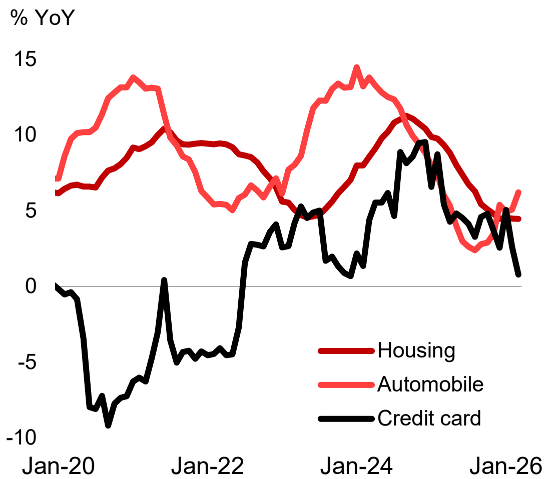
Taiwan: Corporate loans



Sources: CEIC, DBS

Consumer lending remained restrained by the central bank's credit control measures. Housing mortgage loans rose a moderate 4.5% YoY in March, keeping overall consumer loan growth at 4.8%.

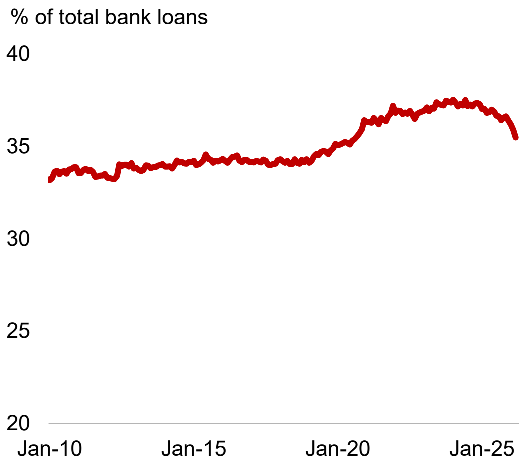
Taiwan: Consumer loans



Sources: CEIC, DBS

Loan concentration risks improved marginally. Real estate-related loans accounted for 35.5% of banks' total loan portfolios in March, down from the 2024 peak of 37.5%.

Taiwan: Real estate loans

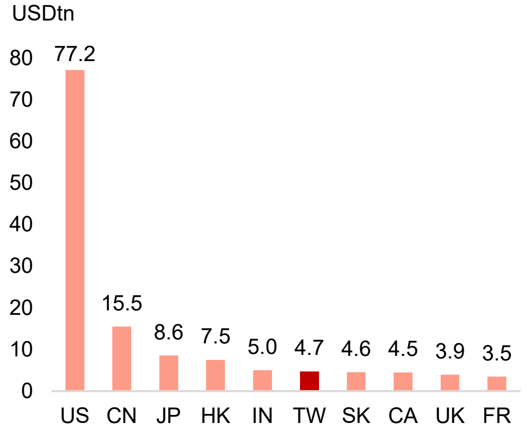


Sources: CEIC, DBS

FINANCIAL MARKET

Taiwan has overtaken Canada, the UK, and France this year to become the world's sixth-largest stock market by market capitalization (USD4.7tn).

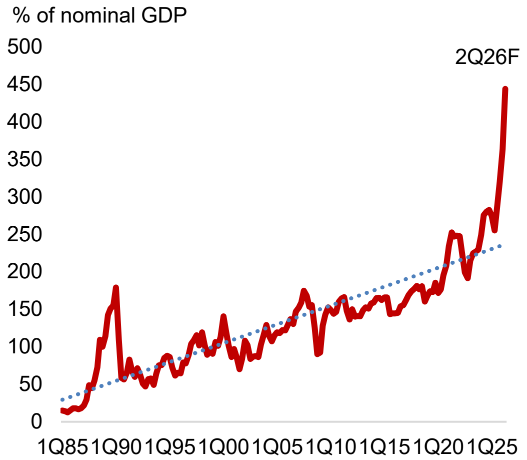
World's top 10 stock markets by market capitalization (May 11, 2026)



Sources: Bloomberg, DBS

There are emerging signs of overheating. The TWSE market capitalization has exceeded 400% of nominal GDP, significantly deviating from historical trends – surpassing levels seen during the late-1980s bubble period.

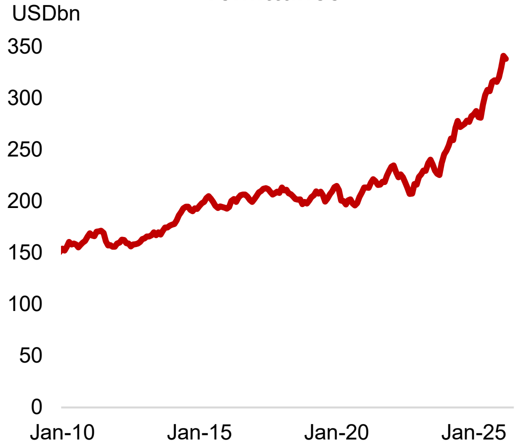
TWSE market capitalization



Sources: CEIC, DBS

Foreign inflows into Taiwan's equity market remain strong. Net foreign inward remittance into TWSE and TPEx rose by USD17.9bn in January-March, reaching a record high of USD338bn.

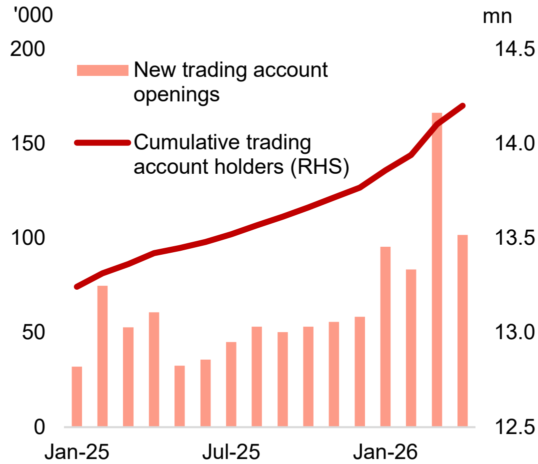
TWSE & TPEx: Foreign net inward remittance



Sources: CEIC, DBS

Retail investor participation has also increased. New trading accounts on the TWSE rose to 102k in April, nearly doubling from 58k in December 2025.

TWSE: Investor trading accounts



Sources: TWSE, DBS

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	0.5	0.8
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.5	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.5*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.2	2.2
MALAYSIA	5.1	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	2.8	2.3	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.7	9.4	3.5	2.2	1.7	1.9	1.8
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	6.5	6.5	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.4	1.2	2.3	2.2	2.0	2.0
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.5	1.7	3.0	2.7	2.5	2.5

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	2.90	2.90	2.80	2.80	2.80
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	4.75	4.75	4.75	4.75	4.75	4.75	4.75
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	2.75	2.75	2.75	2.75	2.75	2.75
TAIWAN	2.00	2.00	2.13	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	5.00	5.00	5.00	5.00	5.00	5.00	5.00
EUROZONE^	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
JAPAN	0.75	0.75	1.00	1.00	1.00	1.00	1.00	1.00
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.90	6.83	6.77	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.82	7.82	7.81	7.81	7.81	7.81	7.80	7.80
USD/INR	93.9	93.1	92.2	91.4	92.0	92.7	93.3	94.0
USD/IDR	16900	16770	16635	16500	16500	16500	16500	16500
USD/MYR	3.96	3.91	3.85	3.80	3.85	3.90	3.95	4.00
USD/PHP	60.1	59.3	58.5	57.8	58.3	58.8	59.3	59.9
USD/SGD	1.28	1.27	1.26	1.25	1.26	1.27	1.27	1.28
USD/KRW	1500	1470	1435	1400	1415	1425	1440	1450
USD/THB	32.7	32.1	31.6	31.0	31.4	31.8	32.1	32.5
USD/VND	26340	26230	26110	26000	26130	26250	26380	26500
AUD/USD	0.70	0.71	0.72	0.73	0.73	0.72	0.72	0.71
EUR/USD	1.16	1.18	1.19	1.21	1.20	1.19	1.18	1.17
USD/JPY	159	156	153	149	151	152	153	154
GBP/USD	1.34	1.36	1.39	1.41	1.40	1.39	1.38	1.37

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Economics

DBS Flash

India: El Niño’s rain check

Economics/India

DBS Group Research May 08, 2026

Radhika Rao
Senior Economist

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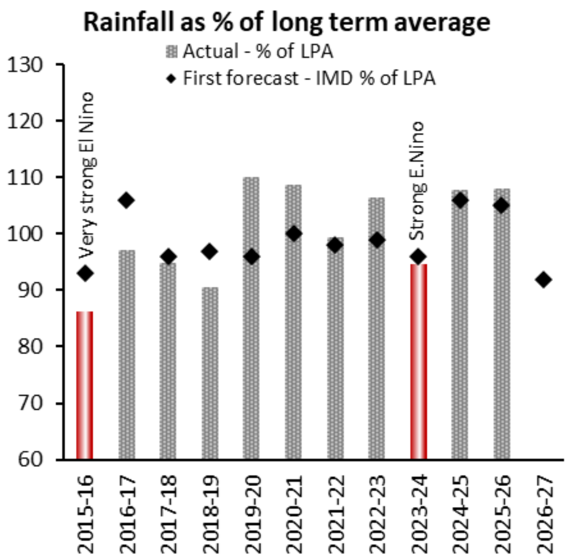
- *The IMD projected below normal rainfall, amidst expectations of a strong El Niño occurrence.*
- *Past trends suggest that only a significant shortfall in rainfall materially impacts output.*
- *The increasing share of irrigated land serves as a key mitigating factor.*
- *Other counterbalancing factors by way of excess foodgrain stocks, reservoir levels, fertilisers and administrative steps will help prevent a price spiral.*
- *Passthrough to rain-sensitive crops, nonetheless, pose upside risks to our inflation forecast.*
- *Implications for forecasts: The RBI policy committee is unlikely to act in a hurry on supply-side shocks.*

El Niño and monsoon – some but not all

The NOAA (press release) highlighted a growing 61% chance that El Niño might emerge around mid-year and persist through at least the end of 2026. Observers have also cited the likelihood that this year’s build up might be the strongest in over three decades. Typically, in the Asia Pacific, this development weakens monsoon and can lead to drought in some parts, also raising the risk of wildfires. Besides El Niño, the Indian Ocean Dipole (IOD) will also influence rain patterns, with officials expecting a positive IOD condition to partly mitigate the El Niño impact.

The Indian Meteorological agency IMD has projected a below normal monsoon for 2026, in midst of expectations of a strong El Niño occurrence. Seasonal rainfall over the country is seen at 8% below the Long Period Average (LPA), with a 66% probability of monsoon being below normal or deficient. Risk of heatwaves was also highlighted as a risk for the Apr-Jun quarter. Private agency Skymet projected rainfall at 94% of LPA, with second half of the peak period (June to September) to experience shortfalls. **The IMD’s next updated forecast is due in the last week of May.**

In India, recent El Niño occurrences have coincided with below normal rainfall though not necessarily drought-like conditions – see chart. In 2015-2016, IMD’s first forecast was 93% of LPA, which was revised to 88% later and actual was closer to 86%. In the past three years, FY24 was the weaker end of normal range after experiencing a relatively strong El Niño phase (link), followed by two successive years of above normal rains at 108% in FY25 and FY26. The crucial southwest monsoon accounts for ~70% of the annual rainfall, concentrated during June to September.



Source: CMIE, DBS

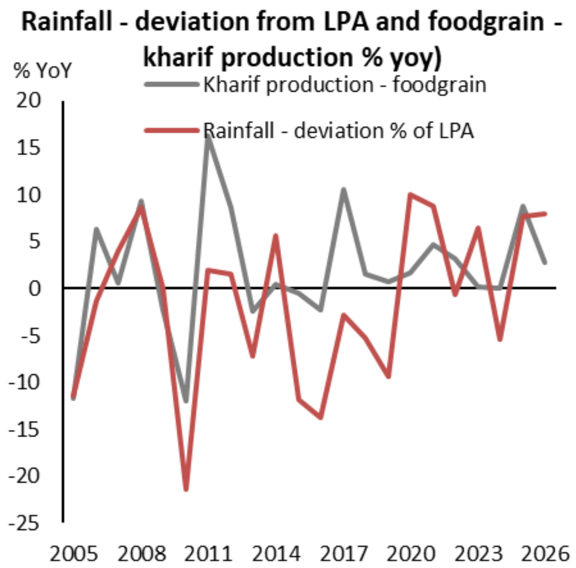
Economic watch factors

Output

The extent of the economic impact will depend on the severity, intensity, and length of the El Niño occurrence. At the same time, not only the strength of aggregate rainfall, but also its distribution can impact output.

The share of agriculture in India's growth mix is modest at 16-17% of GDP but has accounted for a little less than half of overall employment in recent years. **The correlation of the crops sub-component under GVA (gross value added), which makes up half of overall agriculture forestry and fishing (AFF), and foodgrain output is high.**

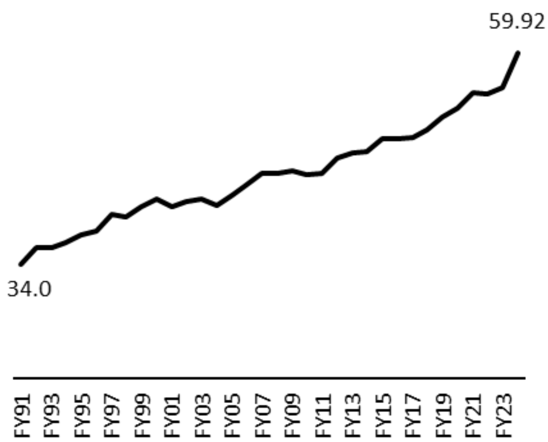
For kharif foodgrain, we observe that in the past three decades, more than 10-11% shortfall in the rainfall vs the LPA causes material impact on the foodgrain output. For instance, 2014-2016, monsoon was an average 12-13% below the LPA (see chart), resulting in a fall in the summer foodgrain output. This was partly responsible for the -0.2% yoy fall in GVA-agri and allied services in FY15 and a modest 0.6% growth in FY16. Hence, assuming a stark double-digit shortfall in the monsoon vs LPA pushes the GVA-AFF growth rate from 3.5% to 2% in the coming year, this could result in 20-30bp reduction in overall headline growth.



Source: CEIC, DBS

As a mitigating factor, the share of gross irrigated area as a percentage of overall gross cropped area has continued to increase, suggesting a reduction in directly rain-fed acreage. Yet, key rain-fed summer crops, which are largely grown during the Kharif season, are heavily dependent on the Southwest monsoon, with major production including rice, soybeans, cotton, maize, and pulses, as well as few horticulture plants.

Gross irrigated area as % of gross cropped area



Source: CMIE, DBS

Inflation impact

The temporal and geographical distribution of rainfall will determine the eventual impact.

We tracked movements in India's food CPI inflation against the last two El Niño periods (of which 2015-2016 was more severe), which showed that swings were moderate, even if not non-trivial. A key offset for inflation during the adverse El Niño spell in 2015-2016 was lower commodity prices including energy, which helped to keep a lid on non-food pressures. By contrast, energy commodity prices are elevated at this juncture, suggesting price pressures could stem from other quarters as well.

Encouragingly, price pressures can be partly mitigated by current foodgrain inventories and potential supply countermeasures. The country has ample official foodgrain stocks. As of May26, total foodgrain stocks in the central pool (managed by Food Corporation of India) jumped to over 60.mn metric tonnes (LMT), which is nearly three times the required buffer norms – comprising of 38.6mn LMT of rice and 21.8mn LMT of wheat. Shortages can be met by these inventories to keep prices stable. Nonetheless, certain other crop groups where maintaining inventories is a challenge (perishables like vegetables) and where stocks are generally inadequate (oilseeds, pulses) could face price pressure. On the latter, imports have been stepped up in the past instances to cap the scale of price hikes.

Secondly, risk of shortages will be addressed via pre-emptive supply side price management steps including redistribution of inter-state supplies, stepping up imports or export bans to boost domestic stocks, supporting better crop yields, containing hoarders, amongst others.

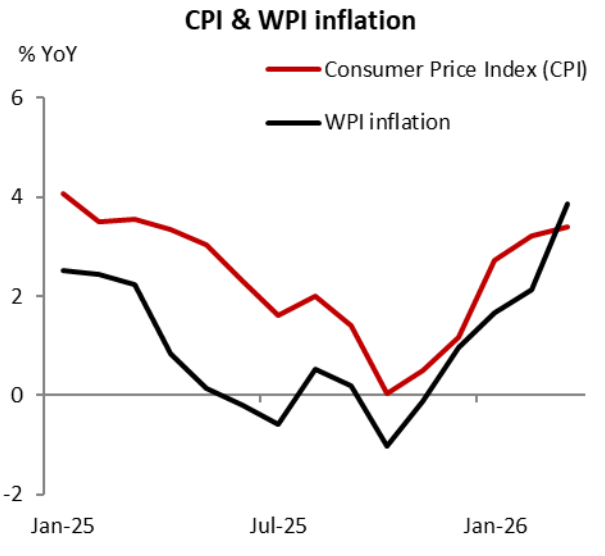
Add to this, adequate reservoir and groundwater levels from the past should also provide some extent of offset until the winter crop but build up for the subsequent cropping seasons will fall short if the shortfall in monsoon is significant. Current storage levels are higher than comparable period last year – see chart.

Reservoir: Current live storage as % of 10y avg

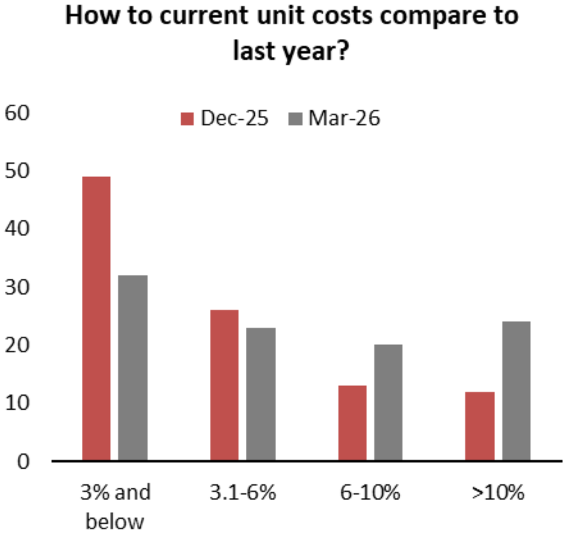
Source: CMIE, DBS

Confluence of forces. At an aggregate level, inflation faces a confluence of pressures – energy prices, second derivative impact via logistics and transport costs, higher input costs for businesses, jump in global fertiliser prices which will result in higher subsidy outlay and vulnerable perishables. Factoring in a modest scale of pump price hike and pipeline monsoon risks, we revise our annual inflation forecast to 4.9% yoy (risks of further upside) for FY27, before easing to 4% next year.

Compared to retail inflation, the wholesale index is more sensitive to commodity and imported price pressures and is expected to rise further due to base effects and external factors. **WPI inflation outpaced CPI gauge in the month** (see chart), signalling pipeline risks. This is reinforced by the sharp rise in PMI input price gauge as well as IIMA Business Inflation Expectations Survey (BIES) for March 2026, which cumulatively point to firms facing strong cost-push factors, which are still be passed on down the value chain to the consumers.



Source: CEIC, DBS



Source: BIES Survey, IIM Ahmedabad

Policy implications.

The RBI monetary policy committee (MPC) is unlikely to exhibit urgency in tightening policy in response to supply-side - energy and food - pressures. The risk of further rate hikes will increase if there are signs of a sharp rise in inflation expectations and a sustained spillover of elevated headline inflation into core inflation readings. **Our baseline view is for the MPC to keep the benchmark rate to keep rates unchanged during 2026.**

Other non-policy measures have been undertaken to stabilize the rupee as discussed here and here. Measures to draw in more dollar flows are reportedly under consideration, including a plan for state-owned banks to sell foreign currency bonds, or introduce a special non-resident deposit scheme. At this juncture, any underlying swap arrangements will need to factor in higher prevailing US rates vs past cycles (including 2013 taper tantrum), which in turn implies higher subsidy support from the RBI. The quantum of issuance will also need to at least partially commensurate with current funding requirements.

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Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research

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DBS Flash

Indonesia growth: Firm start, speed bump ahead

Economics/Indonesia

DBS Group Research

May 05, 2026

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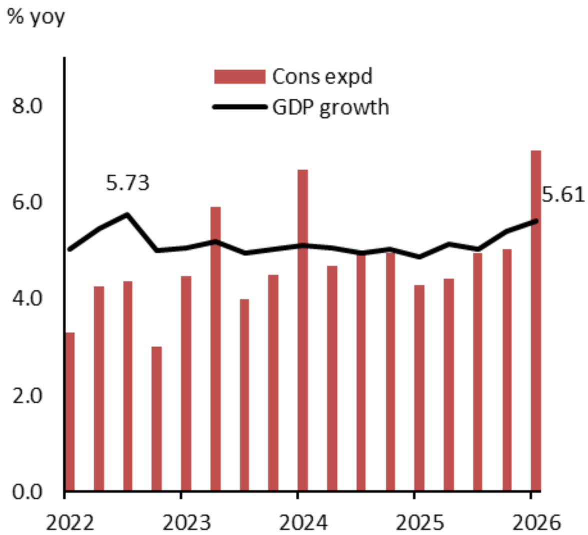
- *Indonesia's economy expanded 5.6% yoy in 1Q26, matching our above-consensus forecast.*
- *Government spending emerged as a key support, while net exports weakened.*
- *1Q26 likely marked the peak*
- *Speed bumps lie ahead by way of high energy prices and pressure to consolidate public finances.*
- *Authorities are likely to delay increases to the fuel pump prices.*
- *This will necessitate adroit fiscal management to keep within the -3% of GDP.*
- ***Implications for markets:** Rupiah might surface as a bigger bother than inflation for the BI.*
- *Jump in SRBI returns has resulted in stealth policy tightening.*

Strong start to the year

Indonesia's economy expanded by a firm 5.6% yoy in 1Q26, in line with our forecast. This marks the fastest quarterly growth since 3Q22. Economic momentum was relatively resilient at the start of the year, supported by higher consumption due to religious festivities, fiscal stimulus measures including the traditional holiday allowance, low base effects, strong government spending and firmer sentiments. Activity, however, softened at the tail end of the quarter around March, due to volatility in the equity markets, and firms facing supply distortions as well as high costs due to the onset of the US-Iran tensions.

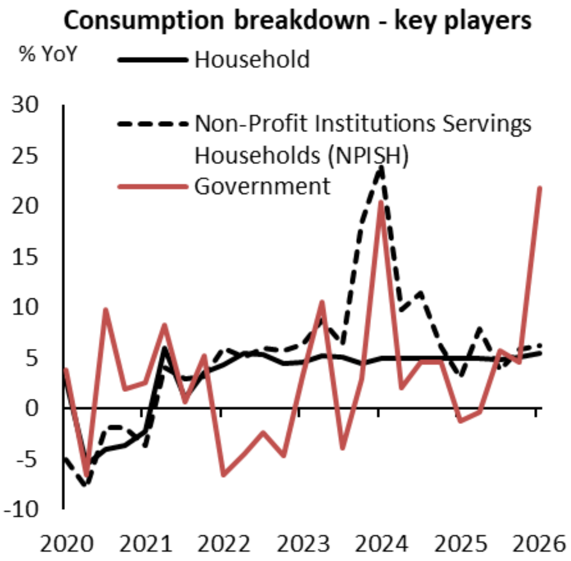
Domestic activity props headline growth



Source: CEIC, DBS

Consumption rose by 7% yoy, helped by higher household and government spending. Investment growth also maintained a strong beat at around 6% yoy in the quarter. Net exports surfaced as a key drag in the period, subtracting 1.2ppt off the headline.

Source: CEIC, DBS

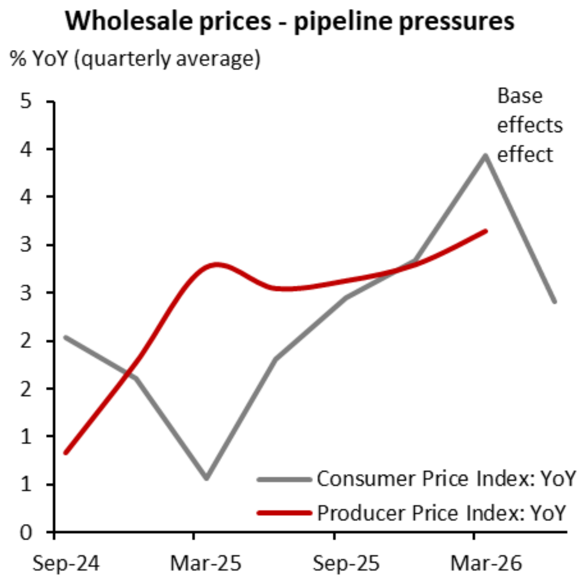


Source: CEIC, DBS

Outlook: **The first quarter likely marked the growth peak**, with the momentum set to moderate as real activity could be dampened by high energy prices and pressure to consolidate public finances. Factoring in these risks, we moderate our growth forecast slightly to 5.1% vs 5.3% currently for 2026.

Bank Indonesia – hawkish pivot

1Q26 CPI inflation averaged a strong 3.9% yoy vs 2.1% average in 2025. An assessment based on these numbers should be viewed with caution due to a low base, with headline CPI inflation expected to normalise 2Q onwards. True to the word, April 2026 inflation eased to 2.4% yoy driven by fading power subsidy-related base effects and demand moderated post-Lebaran. Nonetheless, a gradual but steady pick up in the PPI measure warrants attention as firms face higher upstream input costs and are yet to fully pass these to the final output prices.



Source: CEIC, DBS

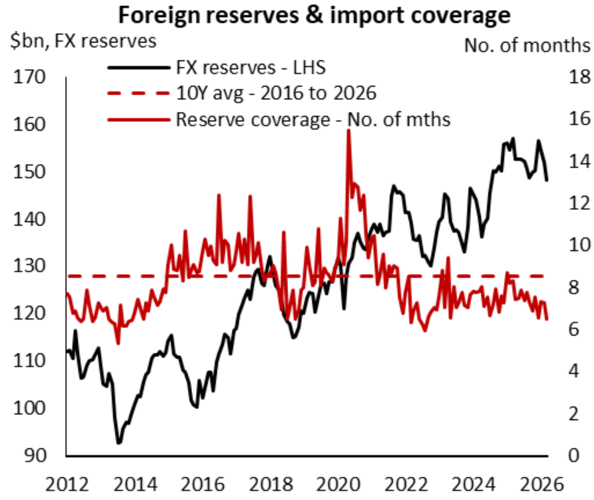
We see two channels of price impact. **Firstly**, a decision of changes in the retail pump prices and associated second derivative impact will be crucial. Our full year CPI inflation forecast at 3.2% assumes no change in the administered fuel prices this year, which is also affirmed by our onshore channel checks as the government appears to treat any subsidy cut as a move of last resort. Nonetheless, with the Strait of Hormuz closure, the passthrough from higher oil, natural gas and fertilisers warrant attention, which could translate into ~0.05-0.1% impact, assuming static retail prices. Notably, the share of energy consumption is higher amongst the middle-class vs other household categories. This deals additional strain on purchasing power, magnified by the absence of social assistance or welfare measures for this stratum of the populace. Aggregate minimum wage has also risen by a more modest pace than in the past few years. **Secondly,** other factors like rupiah depreciation and El Nino-related disruptions in this quarter and next.

Energy consumption - share (% of total expenditure - by class

Source: LPEM FEB UI, BPS

Bank Indonesia held rates unchanged in April but guidance carried hawkish undercurrents. We see two pre-conditions for the BI to shift to a tightening bias: firstly, sharp depreciation pressures on the currency, and secondly, an increase in the domestic administered subsidised fuel prices, which could generate both direct and second-round price pressures, taking inflation beyond the official target range. While we see a lower probability of an increase in the pump prices, rupiah depreciation will be a concern for the central bank, with the FX reserve buffer also moderating in recent months – see chart.

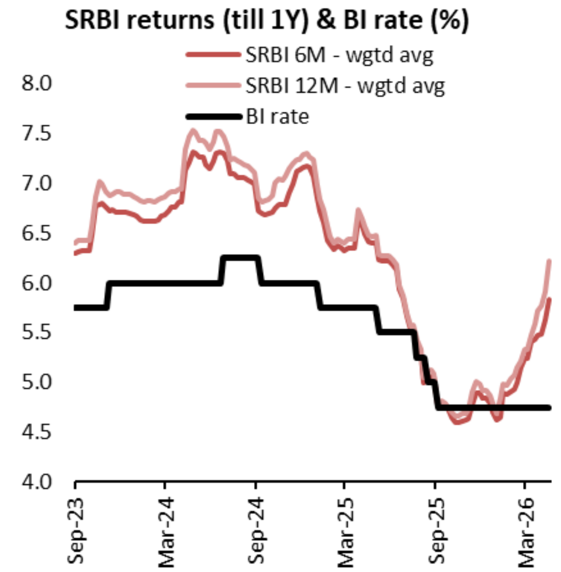
Foreign reserves & import coverage



Source: CEIC, DBS

Our base case is for the BI to stay on hold this quarter but see an increasing likelihood of a measured hike to defend the currency in 2Q. USDIDR rose past a new high at 17400 in May, due to a bid dollar, higher oil and seasonal flows (repatriation), notwithstanding persistent intervention efforts.

Returns on the SRBI instruments continues to climb to draw in more offshore interests, building a yawning gap with the benchmark rate as well as short end yields. **We see this increase as a stealth move to increase rates to draw rate sensitive flows.** When the spread between the BI rate vs SRBIs/ SBN yields was similarly wide back in 2024, a few spillover developments were; a) some extent of cannibalisation of (ex-retail) inflows into the short-term bonds; b) lent an upside bias to the 1Y-2Y yield movements, effectively flattening the curve as official bond purchases helped to contain the long end yield; c) draw in flows from banks especially if global or domestic environment is not conducive; d) absorb banking system liquidity away from productive purposes like boosting credit growth. **Investors are likely to be mindful of these developments this year as well.**



Source: BI, CEIC, DBS

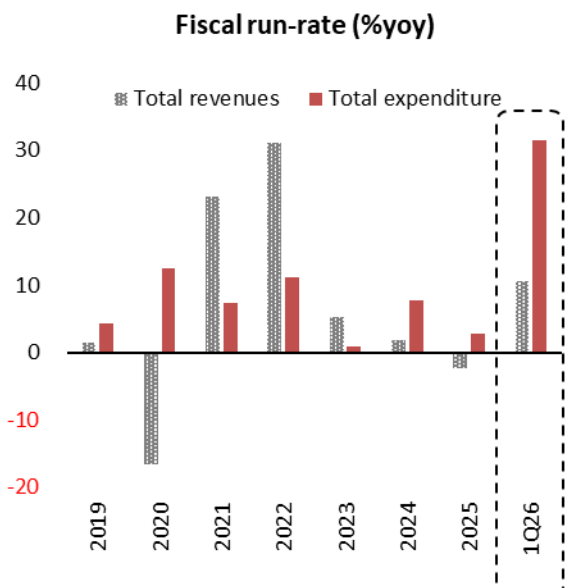
Separately, to help better align offshore NDF with onshore pricing, BI had intended to relax its restriction on domestic banks' participation in the NDF market. Selected primary dealers, particularly those that play a key role in the money markets and foreign exchange, will be allowed to sell in offshore NDFs.

Fiscal deficit to stay anchored

We are mindful of the sensitives of the fiscal math to changes in crude prices (Indonesia Crude ICP) and rupiah movements. For instance, market estimates are that every USD 10bl increase in ICP compared to baseline ($70bl) will increase net fiscal spending by IDR 103trn (0.3% of GDP). Meanwhile, assumption on the exchange rate is that every IDR100/ USD depreciation will raise net fiscal spending by IDR 800bn. **For instance,** a scenario under which ICP averages $92.5bl for the year with an exchange rate at USDIDR 17000, could see the deficit edge above the 3.0% of GDP deficit threshold by 20bp.

Despite elevated pressure on the fiscal math due to high energy costs and consequent need for budgetary support, we expect the -3% of GDP annual deficit threshold to be maintained.

For a start, 1Q26 run rate saw expenditure being frontloaded, rising 30% yoy accompanied by 10% increase in revenues – see chart. This led the 1Q fiscal deficit to jump to -0.93% of GDP vs customary- flat-to-small surplus in most years. Given this weak start to the year, we expect the pace of spending to moderate in the next three quarters, while also carving out savings from existing schemes and flagship programs (including the nutritious food program). The pace of disbursements for the MBG program decelerated into 2Q, which along with broader pronouncements of plans to lower allocation to the program might result in 0.2-0.4ppt of GDP worth room.



Source: BI, MOF, CEIC, DBS

Growth in revenues was strong in 1Q26, partly driven by a low base. While the quarterly pace will slow over the next three quarters, overall revenues are expected to receive a hand from: a) export duties on select commodities; b) better tax administration measures; c) natural resource-based revenues due to higher energy and base metal prices. **The underlying fiscal math will also be subject to other considerations** for instance , a) if there is any formal roadmap that is tabled to seek a temporary wider deficit akin to the pandemic and then being brought back below -3% of GDP; b) spending in deferred or treated as below the line; c) sharp untenable rally in global crude prices, necessitating a passthrough to subsidised and non-subsidised prices, which will help better balance the fiscal books.

Financial markets

Rupiah has persistently been one of the underperformers this year, aggravated by the outbreak of the US-Iran tensions since March. April-May are seasonally weak periods for the currency on USD repatriation demand. While the macro data is still proving to be relatively resilient, investors have adopted a cautious stance ahead of the MSCI review, rating agencies outlook downgrade and governance issues. **With these in view, we would be cautious on the IDR asset performance this quarter, expecting fiscal rationalisation efforts to be supportive in 2H.**

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